

Peru

The National Institute for the Defense of Competition and Protection of Intellectual Property

I. Background

INDECOPI has powers in three main areas: consumer law, intellectual property and competition. The Commission of the Defense of Free Competition of INDECOPI (hereinafter, the Commission) is the Peruvian competition authority. The National Directorate for the Investigation and Promotion of Free Competition of INDECOPI (hereinafter, the Directorate) is the instruction and investigation body and the Commission is the resolutive body.

The Commission and the Directorate are autonomous and independent bodies. The Directorate provides technical support to the Commission. The Commission and the Directorate are responsible for ensuring compliance with Competition Law and promoting competition. The Law on the Repression of Anticompetitive Conduct (hereinafter, the LRCA) prohibits and penalizes anticompetitive conduct. The LRCA establishes that the Directorate has the authority to conduct preliminary investigations and penalize anticompetitive conduct for the wellbeing of consumers. The anticompetitive practices prohibited and penalized by the LRCA are abuse of dominance, horizontal and vertical collusive practices.

Additionally, the National Directorate is responsible for processing, organizing, and instructing the prior control procedure for merger operations, for which it has all the powers established by the Law 31112, Law establishing prior control of business concentration operations.

INDECOPI is an active competition agency in the region. The OECD Regional Centre for Latin America (RCC), a joint initiative between the OECD and INDECOPI, was launched in 2019 and has been helping in the dissemination of competition standards and practices in competition law and policy in the region. Developments in computational antitrust by competition agencies have also been shared in the activities developed by the RCC in Peru.

Currently, the Directorate is working on different projects related to the use of computation tools in competition policy. These projects are related to the detection of anticompetitive practices in public procurement and market monitoring.

II. Computational Tools

A. Cartel Detection in Public Procurement

The Directorate is currently working on the development of a data science tool designed to identify suspicious patterns and potential anticompetitive agreements in public procurement. This project will combine the experience of other international agencies with the expertise of the Directorate team, enabling the early detection of potential anticompetitive conduct. A committed Directorate team, the collaboration with OECE (the public procurement supervisory agency, which provides access to crucial data on public procurement), and the shared knowledge by peer competition agencies will be key factors for the development of this project.

B. Market Monitoring

The projects will involve the extraction, transformation, load, analysis and visualization of crucial data to understand the competition dynamics of markets of great public interest, such as the healthcare markets. Other markets will be included gradually. Data for these projects will come from different sources (web scraping, shared data by public entities, information requirements). These projects will allow monitoring of the evolution of competition conditions and the eventual identification of suspicious patterns on key market indicators.

III. Perspectives and Challenges

The Directorate and INDECOPI have a strong interest in the use of computational tools for competition policy. Consequently, the completion of the projects described, and the inclusion of additional projects could be expected. However, several challenges remain ahead. The most important are:

- The implementation, as in peer competition agencies, of a specific unit within the Directorate exclusively dedicated to the development of computational tools for competition policy. This unit should attract highly specialized personnel. Currently, one professional is exclusively dedicated to the development of these projects, the rest of the team has partial dedication.
- The need for resources to increase computing power for the development of the projects described as well as future projects.